PIRANHA PROFITS

LESSON 2

Trade Mechanics and Market Flow

BY: ALSON CHEW

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TRADE MECHANICS

Trade Mechanics

What is Margin?
Margin is the amount the trader has to have in his/her account to initial the trade.

APPL Share Price: $200.00

Trader wants to buy 100 shares of APPL, therefore the trade value is _____

50% margin required by the broker is _____

What is maintenance margin?

The level of fund existing in a position below which a margin call will be issued and the account will be required to be topped back up to its initial margin level.

50% as the maintenance margin is _____

What is Margin Call?
A request by the broker to top up the trader's account to its initial margin level.

What is forced liquidation?
Liquidation of a trader's account by the broker after failing to meet margin calls.

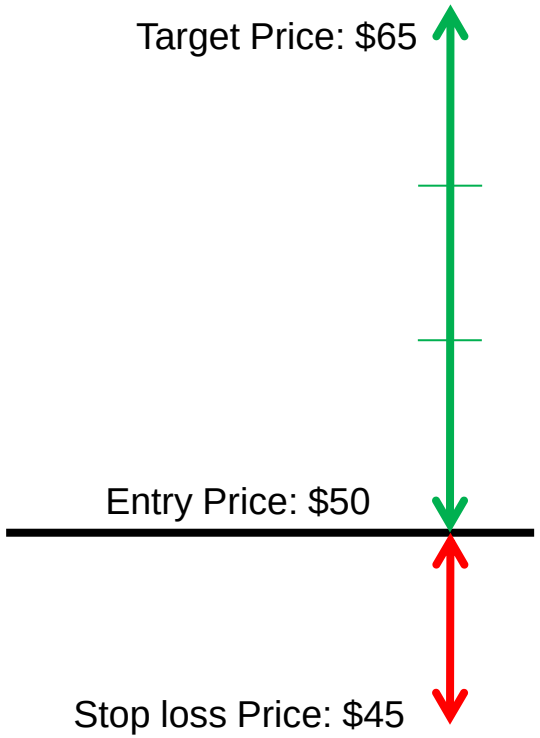
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TRADE MECHANICS

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What is Risk-Reward Ratio?
A ratio used in money management to determine how much a trader risk to potentially gain from a particular trade.





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TRADE MECHANICS

Trade Mechanics

What is close out the position?
Closing of the position with an equal and opposite transaction. Also known as square off the position.

What is Net Position?
The difference between long and short stock or futures position in a particular account.

What is Liquidity?
The ease at which a purchase or sale of a particular asset can be made readily without adverse disruption to existing market price.

What is Volume?
The number of transactions that took place during a particular period.

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IDENTIFYING MARKET FLOW

What is Simple Moving Averages (SMA)?

- ✓ The SMA is derived from summing the closing prices of the asset for a desired period of time and then dividing this total by the number of time periods.

- ✓ The 50 SMA for example is created by the sum of the closing prices of the asset for 50 period of time then dividing this total by 50. Over time, the 50 SMA becomes a dynamic moving line in the price chart.

What is Up Flow and Down Flow?

- ✓ 50 SMA is defined as the price action flow checker.

- ✓ Important to look at the flow specific to the time frame you are trading

- ✓ For as long as price action at any given time frame is _____the 50 SMA. We term price movement as being in the up flow.

- ✓ For as long as price action at any given time frame is _____the 50 SMA. We term price movement as being in the down flow.

- ✓ Price action can either be in the up flow or down flow (example above 50SMA or below 50SMA).

- ✓ We need to reference up flow or down flow when doing price continuation trades

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IDENTIFYING MARKET FLOW



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IDENTIFYING MARKET FLOW



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IDENTIFYING PRICE TRENDS

Characteristic of Uptrend in Price Movement

1) **Higher Highs and Higher Lows in price movement**
2) **General upside price movement**



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IDENTIFYING PRICE TRENDS

Characteristic of Downtrend in Price Movement

1) Lower Highs and Lower Lows in price movement
2) General Downside price movement



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